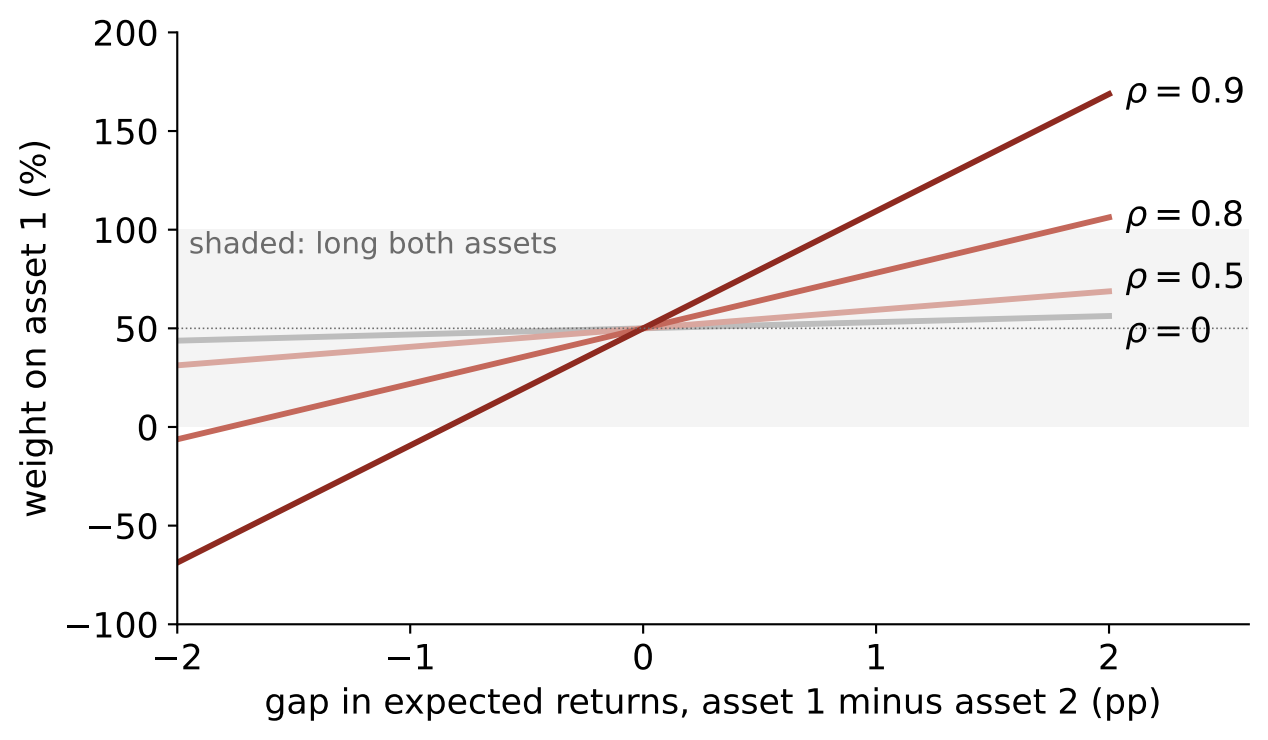
200
150
100
50
0
−50
−100
weight on asset 1 (%)
shaded: long both assets
$\rho = 0.9$
$\rho = 0.8$
$\rho = 0.5$
$\rho = 0$
−2
−1
0
1
2
gap in expected returns, asset 1 minus asset 2 (pp)